

Letizia Pinca
LEO5004 Financial Management
and Resource Utilisation
Monash University



BUSINESS CASE

Project EVT Evolution
The Creative Capital Excellence

Executive Summary:

EVT Limited faces a **structural profitability paradox**: a dominant market position built on a \$2.59 billion asset base generating a net profit margin of only 2.67% and a return on equity of 3.51%. **The gap between EBITDA strength (23.73%) and net profit is not a revenue problem – it is an operational cost problem**, driven by depreciation-heavy fixed assets and a labour-intensive administrative model that has not evolved alongside the group's premium brand positioning.

Project EVT Evolution proposes a dual-pronged response: the aggressive **automation of low-value administrative friction points**, and the simultaneous **re-deployment of human capital into high-value, experience-driven creative roles**. Supported by a Discounted Cash Flow model projecting \$120M in annual staff savings at full implementation, the initiative delivers a positive NPV against a WACC of 7.50% and a **discounted payback period of two years**, confirming both financial viability and strategic alignment with EVT's guest-centric mission.

Business Profile and Strategic Direction:

EVT Limited is an Australian integrated hospitality and leisure group operating across cinema (Event Cinemas), hotels (QT Hotels, Rydges), and entertainment assets. Its strategic vision "to create experiences that escape the ordinary" positions it firmly in the premium experiential segment, where brand equity is inseparable from service quality and physical asset ownership.

EVT's asset-heavy structure is both its competitive moat and its financial constraint. Property, plant, and equipment account for 55% of the total asset base, generating substantial depreciation charges (\$188.6M) that compress net margins despite healthy operational cash generation.

EVT LIMITED BALANCED BUSINESS SCORECARD

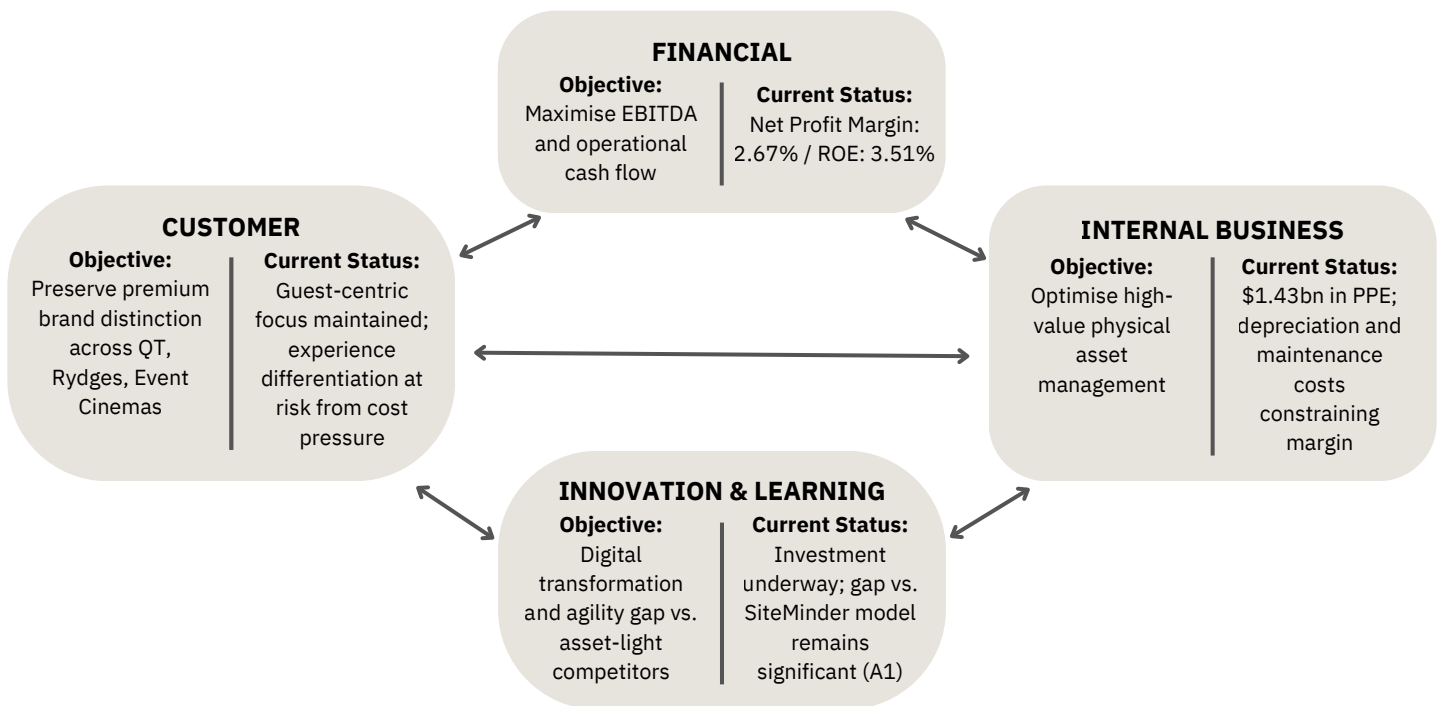


Figure 01: Balanced Business Scorecard (EVT Limited, 2025)

The BSC reveals a direct causal chain: weakness in the Internal Business Perspective, specifically, **the high cost load of the asset-heavy model, is directly suppressing the Financial Perspective outcomes**. Without targeted operational intervention, EVT risks persistent failure to meet institutional ROE expectations.



The Challenge:
Financial and Asset Inefficiency

The core financial challenge is a **capital utilisation gap**. EVT's Asset Turnover ratio stands at 0.48, meaning it generates \$0.48 of revenue per \$1 of assets. By comparison, asset-light competitor SiteMinder achieves an Asset Turnover of 1.74 – generating \$1.74 per \$1 of assets. While a direct operational comparison between the two models is imperfect, the benchmark illustrates the structural efficiency penalty EVT pays for its ownership model.

COMPARATIVE FINANCIAL BENCHMARKING:
EVT VS. SITEMINDER (2025)

Metric	EVT Limited	SiteMinder
Net Profit Margin	2.67%	-10.92%
EBITDA Margin	23.73%	3.27%
Return on Equity	3.51%	-42.45%
Asset Turnover	0.48	1.74
Working Capital/Revenue	-44.71%	-2.79%

Table 01: Comparative Asset Management & Profitability Analysis
(EVT vs. SiteMinder, 2025)

The comparison confirms that **EVT's weakness is** not revenue generation or brand strength; it is **operational cost efficiency**. SiteMinder's asset-light model generates superior asset utilisation but operates at a net loss, demonstrating that full divestiture of physical assets is not a viable path for EVT either. The solution lies in optimising the cost structure *within* the asset-heavy model, not abandoning it.

Strategic Evaluation of Alternatives

Three investment alternatives were evaluated against EVT's financial reality and strategic constraints.

Alternative 1:
Digital Transformation and AI-Driven SEO Innovation

Targets OTA dependency reduction and direct booking growth. Strategically necessary as a defensive measure but insufficient as a primary margin expansion lever. The ROI is difficult to quantify directly and functions primarily as a cost-of-inaction prevention rather than a performance-driven growth initiative. Recommended as a parallel track, not a core investment.

Alternative 2:
Asset-Light Transition

Transitioning toward a management-led model by divesting physical properties would instantly improve Asset Turnover and reduce depreciation drag. However, it introduces a fundamental strategic misalignment: EVT's competitive advantage derives from total environmental control over the guest experience. Ceding ownership to third-party landlords removes the operational autonomy required to maintain the premium standard that defines QT and Rydges. Brand erosion risk makes this unsuitable as a core organisational shift.

Alternative 3:
Operational Excellence & Integrated Automation
(Recommended)

Directly addresses the high operating cost base while preserving EVT's ownership advantages and guest-centric positioning. By automating routine administrative friction points and re-deploying human capital into experience-enhancing creative roles, EVT can structurally expand Net Profit Margins without compromising the physical asset base that underpins its brand. This path offers the most favourable risk-reward profile and the clearest line of sight to institutional ROE improvement.

This recommendation forms the basis for the detailed business case in the following Section.



BUSINESS CASE: PROJECT EVT EVOLUTION

The Strategic Paradox

Automating to Humanize

The central conceptual tension in this business case is the apparent conflict between automation and luxury hospitality. Project EVT Evolution resolves this tension through a precedent-validated insight: **automation does not devalue a premium brand; it elevates it** by removing administrative burden from the guest journey and redirecting human attention toward emotionally resonant interactions.

QC Terme demonstrates this explicitly, leveraging technology to enhance rather than replace the luxury experience, maintaining prestigious brand associations with Dyson and Marshall while deploying digital check-in systems. CitizenM similarly proves that digital efficiency and high-end hospitality are structurally compatible. For an international operator like EVT, automation also enables cultural adaptability: Western guests benefit from frictionless self-service efficiency, while Asian markets, particularly China, where QR-code ecosystems via Alipay and WeChat are standard, perceive technology integration as a hallmark of modern premium service rather than a cost-cutting signal.

Dual-Concept Strategy

Concept A – Automation of Friction Points

Routine administrative tasks (manual check-ins, ticket processing, billing coordination, energy management) are identified as "Obsolete" processes: high labour cost, zero guest experience contribution. These are systematically automated through smart kiosks, keyless entry IoT infrastructure, AI-managed energy grids, and a proprietary EVT App integrated across hotels and cinemas.

Concept B – Human Capital Re-Deployment

Staff freed from administrative roles are re-deployed into "Exceptional" functions: roles that machines cannot replicate and that directly enhance the premium guest journey. Creative redeployment pathways include:

- *Wellness & Vitality*: Yoga and Pilates instructors, personal trainers, holistic massage therapists
- *Entertainment & Culture*: Resident DJs, ceramic and pottery workshop leaders, surf and outdoor adventure coaches at Thredbo properties
- *F&B Artistry*: Artisan baristas, interactive mixologists
- *Experience Design*: Bespoke event coordinators, boutique night curators, complex guest relations managers

A **Hybrid Role model** allows staff to split their week; for example, 20 hours as a receptionist managing system oversight and 20 hours as a pottery instructor, reducing boreout, improving retention, and embedding multidisciplinary talent across the portfolio. A Talent Evolution Team conducts Talent Mapping to identify hidden competencies in existing staff before any external hiring.

Benefits and Trade-offs

PRO	Polyhedric, multidisciplinary staff model reduces single-role vulnerability and turnover
PRO	Variety and creative engagement addresses modern "boreout", a growing cost driver in hospitality
PRO	Premium brand equity strengthened, not diluted, through superior human-centric experiences
CON	Training lag: transitioning administrative staff into multidisciplinary roles requires intensive re-skilling, creating a productivity dip of 6–12 months in the early phases

Resourcing Required

1. Technological Infrastructure – CAPEX (\$35M)

- **Unified Digital Ecosystem (\$35M)**: Proprietary EVT App development integrated across hotels and cinemas; smart kiosk installation; QR-code access point hardware
- **Operational Integration**: IoT infrastructure retrofitting across QT, Rydges, and Event Cinemas properties for keyless entry, automated billing, and AI-managed energy systems

2. Human Capital Transformation – OPEX (\$3.5M)

- **EVT Academy Re-Skilling Fund (\$3.5M)**: Certifications covering yoga instruction, barista excellence, event management, and automated system management
- **Talent Evolution Team**: Dedicated HR task force for Talent Mapping and horizontal growth facilitation
- **Change Management Consultancies**: External expertise for cultural transition and ethical workforce resizing

Total Initial Investment: \$38.5M (CAPEX + Re-skilling)



BUSINESS CASE: PROJECT EVT EVOLUTION

Implementation Plan

The original 18-year model has been condensed into a tighter, five-phase roadmap with sharper financial milestones in the critical first five years, addressing the professor's observation that cash flow projections beyond 10 years carry increasing forecasting risk.

Phase 1 – Months 1–6: Foundation

Tech stack selection; definition of Hybrid Role frameworks; Talent Mapping audit across all properties; identification of Obsolete vs. Exceptional tasks.

Phase 2 – Months 7–12: Pilot Deployment

Smart check-in rollout across 5 flagship locations (QT Sydney, QT Melbourne, Rydges Sydney, Event Cinemas George St, Thredbo Alpine Hotel); initial guest satisfaction feedback loop; first EVT Academy cohort enrolled.

Phase 3 – Months 13–24: Re-Skilling Wave

Launch of EVT Academy at scale; first wave of staff transition into multidisciplinary creative roles; productivity dip monitoring and mitigation; Hybrid Role contracts formalised.

Phase 4 – Year 3: Portfolio-Wide Rollout

Full technology implementation across entire EVT portfolio; optimisation of Hybrid Role scheduling; SLA establishment for automated systems; maintenance cost benchmarking.

Phase 5 – Year 4+: Optimisation and Evolution

Continuous evaluation of guest satisfaction with technology integration and staff satisfaction with creative role structures; balance optimisation between tech efficiency and human connection; annual Talent Mapping refresh.

Financial Viability and Feasibility Analysis

COST OF CAPITAL

PARAMETER	VALUE
EVT Beta	1.02
Risk-Free Rate (Rf)	4.00%
Equity Risk Premium (ERP)	6.00%
Cost of Equity (Re)	10.12%
Cost of Debt (Rd, after-tax)	4.55%
Weight of Equity	53%
Weight of Debt	47%
WACC	7.50%

A conservative 6.5% cost of debt is used (above EVT's historical rate) to reflect current marginal rates for long-term technology investments, applying an appropriate margin of safety.

As explicitly requested by the course instructor, a screenshot of the original Excel file is provided below.

Illustration of Cost of Equity Calculation using CAPM		
EVT's Beta	1.02	
Risk-free Rate (Rf)	4.00%	
Equity Risk Premium (ERP)	6.00%	
EVT's Cost of Equity (Re)	10.12%	
WACC Calculation		
Cost of Debt (Rd)	6.50%	→ While EVT's historical cost of debt is lower, a conservative 6.5% estimate is used to reflect current marginal rates for new long-term technology investments.
Marginal Tax Rate	30%	
After-tax Cost of Debt	4.55%	
Total Equity (E)	\$950,363	
Total Debt (D)	\$842,641	
Value of the Firm (V)	\$1,793,004	→ Market Value of the Firm (based on Book Value of Equity and Long-term Debt)
Weight of Equity (E/V)	53%	
Weight of Debt (D/V)	47%	
EVT's WACC	7.50%	

Figure 02: Feasibility and viability calculations for EVT Limited's proposed investment (original Excel document screenshot, included per instructor guidelines).



BUSINESS CASE:

PROJECT EVT EVOLUTION

DFC MODEL - KEY ASSUMPTIONS

- **Annual staff savings at full implementation:** \$120M (based on hospitality industry benchmarks for premium service providers, aligned with EVT's disclosed staff cost base)
- **Savings ramp:** 10% in Year 1 (pilot phase), 20% in Year 2, 30% from Year 3 onward as automation scales
- **Incremental revenue growth:** 2% per annum, driven by enhanced guest experience and creative programming
- **Maintenance costs:** \$1M annually for ongoing OPEX platform maintenance; \$3.5M ongoing training OPEX
- **Depreciation:** 5-year straight-line on technology hardware (\$7M per annum)
- **Modelling horizon note:** While the original model extended to 18 years, the financially critical window is Years 1–10, where assumptions carry the highest confidence. Beyond Year 10, projections are indicative; the positive NPV is firmly established within the first decade.

Note 1: NPV and IRR figures reflect an optimal-scenario projection; sensitivity analysis on savings ramp rate and revenue growth assumptions confirms positive NPV across all conservative variants.

Note 2: Staff cost benchmark derived from EVT Limited 2025 Annual Report disclosed staff cost base, aligned with hospitality automation ROI studies.

FINANCIAL OUTCOMES

METRIC	VALUE
Discounted Payback Period	2 years
NPV (18-year horizon)	\$1,958,008,815
IRR	171,738%
Initial Investment	\$38.5M
Annual Staff Savings (full implementation)	\$120M

The IRR figure, while reflecting a highly favourable return, should be contextualised: it is driven by the asymmetry between a relatively modest initial capital outlay (\$38.5M) and the compounding annual savings (\$120M) against a low hurdle rate (7.50% WACC). The 2-year payback period is the most operationally meaningful metric and confirms financial viability under conservative assumptions.

As explicitly requested by the course instructor, a screenshot of the original Excel file is provided below.



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Figure 03: Feasibility and viability calculations for EVT Limited's proposed investment (original Excel document screenshot, included per instructor guidelines).

Project EVT Evolution demonstrates that financial discipline and creative ambition are not mutually exclusive in premium hospitality. The strategic case is robust; the implementation variables below reflect lessons learned in retrospect.

What I would do Differently Today:

Note: Written retrospectively in Aug 2026 to provide updated commentary on the Apr 2026 report.

Two gaps are clear in retrospect. First, the DCF assumptions deserved more explicit documentation – particularly the staff savings ramp rate and the revenue growth driver. Publishing assumptions transparently, even in a supporting table, would have made the model independently verifiable rather than requiring the reader to reverse-engineer the inputs from the outputs. For a business case aimed at institutional investors, assumption transparency is as important as the NPV figure itself.

Second, the implementation plan would benefit from tighter financial staging: each phase should carry its own mini-P&L showing projected cost outlay, expected savings unlocked, and cumulative payback progress. This would demonstrate that EVT can fund later phases from the operational savings generated in earlier phases – making the case for internal financing rather than external capital raise, which is more credible for an asset-heavy group managing institutional ROE expectations.

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